



post analysis revealed that the India Shining story had been aggressively sold in the major cities; hence the exit polls in these cities placed the NDA's chances very high. But 70 per cent of the population lives in the rural areas and for them India was not shining. Thus NDA lost. On May 17, 2004 the markets crashed by more than 800 points in just two days. The reason: all available information was negative. In bull markets there is only positive news and in bear markets it is only negative. That's why markets go up or come down on reflexivity.



Representative Heuristic

We assess the likelihood of an event by its similarity to other occurrences. A predominant bias associated with this is over reaction. In the stock markets, if the leaders report impressive performances then all the stocks in that particular sector benefit. The fortunes of the steel industry seemed to be changing and Tata Steel reported increased earnings and profits. All the stocks in the sector, including the junk and penny stocks, attracted investors' interest irrespective of whether they too would report increased earnings. When the textile industry reported good profits, not only did all the stocks in that sector rise, but companies in associated industries, like textile machinery manufacturers, spinning mills, dyes and chemicals also attracted attention. Representative heuristics also affect investors' actions. Investors try to replicate their portfolios by following the leaders. If they find that a leading fund or broker or a respected personality has bought a particular stock they also buy the stock. In a way this gives rise to the herd mentality.



Saliency Heuristic

Individuals over react to an unusual event assuming it to be a permanent trend. Two aeroplanes crash into the World Trade Centre and the world stops flying the next day. Surely this type of incident has a one in a million chance of recurring the